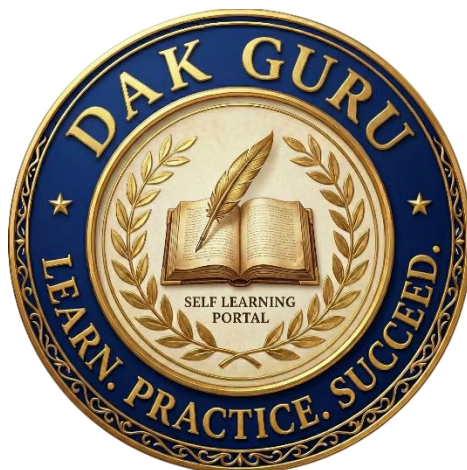


DAK GURU STUDY MATERIAL

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CHILDREN EDUCATION ALLOWANCE & HOSTEL SUBSIDY

Detailed Study Notes for Central Government Employees

Based on DoP&T O.M. dated 16/17.07.2018 as amended • Rates effective 01.01.2024

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DISCLAIMER

This booklet has been prepared strictly from an examination point of view. Every effort has been made to ensure accuracy and to incorporate the latest amendments, orders, and clarifications relating to the relevant rules and instructions. However, this document is intended as a study aid only and does not constitute an official communication. In case of any discrepancy, the original Office Memoranda, Gazette notifications, and statutory rules shall prevail. Readers and aspirants are strongly advised to verify the current position from official Government sources before acting upon any provision.

Introduction & Overview

Children Education Allowance (CEA) and **Hostel Subsidy** are welfare reimbursements granted to Central Government employees to ease the cost of educating their children. The Seventh Central Pay Commission (7th CPC) increased the earlier rates by a factor of 1.5 and simplified the claim procedure by **delinking the allowance from actual fees** — it is now a fixed amount.

The scheme is governed by a single consolidated order: **DoP&T Office Memorandum No. A-27012/02/2017-Estt.(AL) dated 16/17 July 2018**, which was issued **in supersession of all earlier OMs** on the subject. Subsequent orders have only (i) revised the monetary rates as Dearness Allowance rose, and (ii) aligned the eligible classes with the National Education Policy (NEP) 2020. The rates currently in force took effect from **1 January 2024**.

How this booklet is organised

- **Part A — The Rates:** current monetary limits, how they change, and worked examples.
- **Part B — Eligibility & Conditions:** who can claim, for which children, for which classes, and for how long.
- **Part C — Procedure & Documents:** what to submit and how reimbursement is processed.
- **Part D — Special Situations:** death, retirement, Divyang children, Nepal/Bhutan, leave and suspension.
- **Part E — Quick Revision:** clause map, FAQs, common errors, and source list.

THE GOLDEN RULE OF THIS TOPIC

CEA and Hostel Subsidy are **fixed amounts**, paid **irrespective of the actual expenditure** incurred. The employee does not have to prove that the full amount was spent — only that the child genuinely studied (and, for Hostel Subsidy, genuinely resided in a hostel). This single idea explains almost every rule that follows.

PART A — THE RATES

1. Current Rates at a Glance

The following rates are in force **with effect from 1 January 2024**, per child, and are fixed irrespective of actual expenditure:

Component	Rate (w.e.f. 01.01.2024)	Nature of the Limit
Children Education Allowance (CEA)	₹ 2,812.50 per month	Fixed amount per child (maximum two children)
CEA — Divyang child	₹ 5,625.00 per month	Double the normal CEA (fixed)
Hostel Subsidy	₹ 8,437.50 per month	Ceiling — actual boarding/lodging or this ceiling, whichever is lower
Special Allowance for Child Care (women with disabilities)	₹ 3,750.00 per month	Separate scheme; per disabled woman employee

Source: DoP&T O.M. No. A-27012/01/2023-Pers.Policy(Allowance) dated 25.04.2024, giving effect to the 25% enhancement from 01.01.2024.

ANNUAL EQUIVALENTS (HANDY FOR CALCULATIONS)

- CEA: ₹ 2,812.50 × 12 = ₹ 33,750 per child per year.
- Divyang CEA: ₹ 5,625 × 12 = ₹ 67,500 per child per year.
- Hostel Subsidy: ₹ 8,437.50 × 12 = ₹ 1,01,250 per child per year (ceiling).
- CEA + Hostel Subsidy together: up to ₹ 11,250 per month = ₹ 1,35,000 per child per year.

2. How the Rates Increase — The DA Linkage

Clause (e) of the consolidated O.M. provides that the rates and ceiling are **automatically raised by 25% every time the Dearness Allowance (DA) on the revised pay structure goes up by 50%**. No fresh sanction is needed, although the Government usually issues a clarificatory O.M. confirming the revised figures.

Why the present figures look unusual

The base 7th CPC rates were round numbers (CEA ₹ 2,250; Hostel Subsidy ₹ 6,750). When DA first crossed 50%, a 25% increase was applied, producing the present non-round figures. The arithmetic is shown below:

Component	7th CPC base	+ 25%	Present (01.01.2024)
CEA (per month)	₹ 2,250	+ ₹ 562.50	₹ 2,812.50
Divyang CEA (per month)	₹ 4,500	+ ₹ 1,125	₹ 5,625.00
Hostel Subsidy (per month)	₹ 6,750	+ ₹ 1,687.50	₹ 8,437.50

EXAM POINT — THE TRIGGER IS EACH 50% STEP

The 25% rise is linked to **each 50% step in DA**, not to DA merely "reaching" a slab once. The present rates reflect the rise on DA touching **50% (01.01.2024)**. The **next** automatic 25% enhancement will take effect only when DA crosses **100%**. As on the date of this booklet, no further enhancement has been notified.

3. Worked Examples

Example 1 — Two children, one in a hostel

An employee has two children. The elder studies in a residential school 70 km away and stays in the hostel; the younger is a day scholar. For the academic year:

- Elder child: CEA ₹ 33,750 **plus** Hostel Subsidy ₹ 1,01,250 (assuming boarding/lodging $\geq$ ceiling) = ₹ 1,35,000.
- Younger child: CEA ₹ 33,750.
- **Total reimbursement = ₹ 1,68,750** for the year (subject to certificates/receipts).

Example 2 — Hostel expenditure below the ceiling

If the boarding and lodging expenditure for a child is only ₹ 70,000 for the year (below the ₹ 1,01,250 ceiling), the Hostel Subsidy payable is the **lower** of the two — i.e. ₹ 70,000, not the ceiling. CEA of ₹ 33,750 is paid separately and in full, as it is a fixed amount.

Example 3 — Both spouses in Government service

Where both husband and wife are Government servants, **only one** of them may claim CEA and Hostel Subsidy for the children. The other cannot claim the same children, even for different children, the benefit is taken by a single spouse for the family's eligible children.



PART B — ELIGIBILITY & CONDITIONS

4. Number of Children & the Two-Child Norm

Reimbursement can be claimed only for the **two eldest surviving children**. Two exceptions enlarge this limit:

1. **Twins / multiple birth as the second childbirth:** if the second childbirth results in twins or a multiple birth, the benefit is admissible for all such children (i.e. it may cover more than two children).
2. **Failure of sterilization operation:** the benefit is admissible for children born out of the **first instance** of such failure, beyond the usual two-children norm.

EXAM POINT — DISABILITY DOES NOT CREATE A THIRD SLOT

The two-child limit applies **strictly, regardless of disability**. A third child becomes eligible **only** through twins/multiple birth (as the second childbirth) or failure of sterilization — **not** merely because one child is Divyang. This is a favourite trap in objective papers.

5. Eligible Classes & NEP-2020 Alignment

CEA and Hostel Subsidy are admissible for children from **nursery up to Class 12**, including Classes 11 and 12 conducted by **Junior Colleges or schools affiliated to Universities or Boards of Education**. Children studying through “**Correspondence or Distance Learning**” are also covered, subject to the scheme's conditions.

Following alignment with the **National Education Policy (NEP) 2020**, the benefit is admissible for children studying from **three classes before Class 1** (i.e. Nursery / LKG / UKG) up to **Class 12** — **irrespective of the nomenclature** of the class. It also covers the **initial two years of a diploma / certificate course** from a **Polytechnic / ITI / Engineering College**, provided that:

- the child pursues the course **after passing Class 10**; and
- the Government servant **has not** been granted CEA / Hostel Subsidy for that child for studies in **Classes 11 and 12**.

LEGISLATIVE NOTE – “TWO” BECAME “THREE”

The **original** clause (p) of the 2018 O.M. read “**two** classes before class one.” This was **substituted** by DoP&T O.M. dated **14.03.2024** to read “**three** classes before class one,” giving effect to NEP-2020 from the academic year **2023-24** onwards. The current, in-force position is therefore **three** classes (Nursery, LKG, UKG). A **one-time relaxation** was also allowed for employees whose children had to repeat an additional class due to NEP-2020 implementation.

6. Age Limits

The upper age limits, as on the start of the academic session, are:

Category of Child	Upper Age Limit
Divyang (differently-abled) child	22 years
Any other child	20 years, or passing Class 12 — whichever is earlier
Minimum age	No minimum age prescribed

ATTAINING THE AGE LIMIT MID-SESSION

If a child completes 20 / 22 years halfway through the academic session, CEA / Hostel Subsidy remains admissible till the end of that academic session — the benefit is not stopped midway.

7. Distance Criterion for Hostel Subsidy

Hostel Subsidy is admissible **only** where the child studies in a **residential educational institution located at least 50 kilometres from the residence** of the Government servant. It is expressly clarified that the grant of Hostel Subsidy is **not** linked to the **transfer liability** of the Government servant — an employee need not be transferable to claim it.

8. Performance & Repetition of a Class

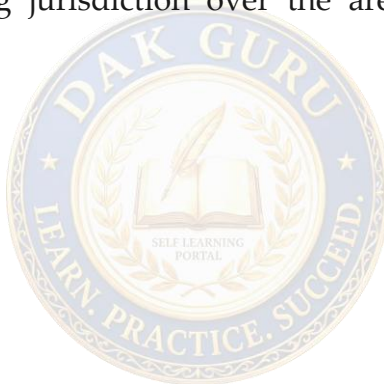
Reimbursement has **no nexus with the child's performance**. Even if a child **fails** a class, reimbursement is **not stopped**.

However, there is one restriction: if the child is admitted to the **same class in another school** — although the child had **already passed** that class in the previous school, or had done so **mid-session** — then **CEA is not reimbursable** for that repeated class. (This prevents claiming twice for the same completed class.)

9. Recognition of Unaffiliated Schools

For schools/institutions at the **nursery, primary, and middle levels that are not affiliated** to any Board of Education, reimbursement is allowed only if the child studies in a **“recognised”** school/institution.

A **“recognised” school/institution** means a Government school, **or** any educational institution (whether or not in receipt of Government aid) that is recognised by the **Central or State Government, a Union Territory Administration, a University, or a recognised educational authority** having jurisdiction over the area in which the institution is situated.



PART C — PROCEDURE & DOCUMENTS

10. Frequency of Reimbursement

Reimbursement of CEA and Hostel Subsidy is made **only once in a financial year, after the completion of the financial year**. It is therefore claimed in **arrears** for the preceding academic year.

11. Documents for CEA

To claim CEA, the Government servant should produce **either** of the following:

1. **Primary route — Head of Institution's certificate:** a certificate issued by the Head of the Institution for the period/year of claim, confirming that the **child studied in the school during the previous academic year**.
2. **Alternative route — if the certificate cannot be obtained:** a self-attested copy of the report card, or self-attested fee receipt(s) — including e-receipt(s) — confirming that the fee was deposited for the **entire academic year**.

NOTE — MEANING OF “PERIOD / YEAR”

The expression “period / year” means the academic year, i.e. twelve months of a complete academic session. The same meaning applies to Hostel Subsidy.

12. Documents for Hostel Subsidy

Hostel Subsidy requires proof both of study **and** of residence/expenditure. Produce **either**:

1. **Primary route:** a certificate from the **Head of the Institution** confirming that the child studied in the school **and stating the amount of expenditure incurred** by the Government servant towards **lodging and boarding** in the residential complex; **or**
2. **Alternative route:** a self-attested copy of the report card together with self-attested original receipt(s) / e-receipt(s) that indicate the amount of expenditure incurred towards lodging and boarding in the residential complex.

The **expenditure on boarding and lodging, or the ceiling of ₹ 8,437.50 per month, whichever is lower**, is paid as Hostel Subsidy.

AUDIT TIP – THE WORD “RESIDED” MATTERS

The certificate/receipt must clearly establish that the child **resided** in the hostel. A receipt merely showing “boarding charges” without indicating residence is liable to objection by the Pay & Accounts Office. **Day-boarding and transport (bus) charges are NOT reimbursable** under Hostel Subsidy.

13. Claim Process – Step by Step

Step	Action
1	Wait until the financial year is complete (claim is made in arrears).
2	Obtain the Head of Institution's certificate; if unavailable, gather the report card and full-year fee/boarding receipts.
3	For Hostel Subsidy, ensure the document shows the child resided in the hostel and the boarding/lodging amount.
4	Submit the prescribed claim form with a self-declaration to the office where you are serving (or last served).
5	Where both spouses are Government servants, ensure only one spouse claims for the children.
6	The DDO/PAO verifies and reimburses the fixed CEA and the admissible Hostel Subsidy (lower of actual/ceiling).

PART D – SPECIAL SITUATIONS

14. Divyang (Differently-Abled) Children

CEA for **Divyang children** is payable at **double the normal rate**, i.e. ₹ 5,625.00 per month **(fixed)** w.e.f. 01.01.2024, irrespective of actual expenditure. In addition, a special relaxation applies to the institution:

Where a Divyang child studies in an institution that is **aided or approved** by the Central/State Government or UT Administration, **or whose fees are approved** by any of these authorities, the CEA paid by the Government servant is reimbursed **irrespective of whether the institution is “recognised” or not**. In such cases the benefit is admissible **till the child attains 22 years**.

RELATED – SPECIAL ALLOWANCE FOR CHILD CARE

Distinct from CEA, a **Special Allowance for Child Care for women with disabilities** is payable at ₹ 3,750 per month (revised by the same O.M. dated 25.04.2024). It is a **separate** benefit governed by DoP&T O.M. No. A-27012/03/2017-Estt.(AL) dated 16.08.2017 and should not be confused with CEA.

15. Death of a Government Servant in Service

If a Government servant **dies while in service**, CEA / Hostel Subsidy continues to be admissible for the children, subject to the other conditions, **provided the surviving spouse is not employed** in the service of the Central Government, a State Government, an Autonomous body, a PSU, or a Semi-Government Organisation such as a **Municipality, Port Trust Authority, or any other body partly or fully funded** by the Central/State Government.

In such cases the benefit is payable to the children **for the period the deceased employee would actually have received it**, subject to fulfilment of the other terms. Payment is made by the **office in which the Government servant was working prior to death**.

16. Retirement, Discharge, Dismissal or Removal

On **retirement, discharge, dismissal, or removal** from service during the course of an academic year, CEA / Hostel Subsidy is admissible **till the end of that academic year**.

Payment is made by the **office in which the Government servant worked prior to the event**, regulated by the other conditions of the O.M.

17. Children Studying in Nepal and Bhutan

CEA is payable for the children of all Central Government employees — **including citizens of Nepal and Bhutan who are employees of the Government of India** — whose children study in their **native place**. However, a **certificate from the concerned Indian Mission** must be obtained, certifying that the school is recognised by the educational authority having jurisdiction over the area in which the institution is situated.

18. Admissibility During Leave and Suspension

CEA / Hostel Subsidy is admissible to a Government servant while he/she is **on duty, under suspension, or on leave (including Extraordinary Leave)**. However, for **any period treated as “dies non”**, the Government servant is **not eligible** for CEA / Hostel Subsidy for that period.

19. Effective Date of the Scheme

The consolidated instructions came into force from **1 July 2017**. The rates discussed in this booklet are those revised with effect from **1 January 2024**, which remain current as on the date of preparation.

PART E – QUICK REVISION

20. Income-Tax Treatment (For Information)

The income-tax exemption is **separate from, and much smaller than, the reimbursement ceiling**. Under **Section 10(14) read with Rule 2BB** of the Income-tax Rules, 1962:

- **Children Education Allowance:** exempt up to ₹ 100 per month per child, for a maximum of two children.
- **Hostel Expenditure Allowance:** exempt up to ₹ 300 per month per child, for a maximum of two children.

Any reimbursement above these statutory exemption limits is **taxable as salary** and reflected in Form 16.

CAUTION – DO NOT CONFUSE THE TWO LIMITS

The **income-tax exemption** (₹ 100 / ₹ 300 per month per child) and the **CEA / Hostel Subsidy reimbursement ceilings** (₹ 2,812.50 / ₹ 8,437.50 per month) are governed by **different provisions** and serve **different purposes**. They are unrelated in amount.

21. Clause Map of the Consolidated O.M. (17.07.2018)

Quick cross-reference between the original clauses and the topic each covers:

Clause	Subject	Key Point
(a)	Two-child norm & exceptions	Twins / sterilization failure
(b)	CEA rate & CEA documents	Fixed; certificate or receipts
(c)	Hostel Subsidy ceiling & documents	Lower of actual / ceiling
(d)	Divyang CEA	Double the normal rate
(e)	DA linkage	+25% on each 50% DA step
(f)	Concurrent claims	CEA + Hostel together allowed
(g)	Both spouses in Govt.	Only one may claim
(h)	Frequency	Once a year, in arrears
(i)	Distance for Hostel Subsidy	At least 50 km

Clause	Subject	Key Point
(j)	Performance / repetition	Fail ≠ stop; repeat passed class barred
(k)	Death in service	Spouse not in Govt. service
(l)	Retirement / dismissal etc.	Till end of academic year
(m)	Age limits	22 / 20 yrs; no minimum
(n)–(p)	Eligible classes & NEP-2020	Nursery to 12; 3 classes before Class 1; diploma 2 yrs
(q)–(r)	Recognition; Divyang institutions	Recognised school; approved institution
(s)	Nepal & Bhutan	Indian Mission certificate
(t)	Leave / suspension / dies non	Admissible except dies non

22. Frequently Asked Questions

Q. Do I need to submit actual fee bills to get the full CEA?

A. No. CEA is a **fixed amount** paid irrespective of actual expenditure. A certificate from the Head of Institution (or, failing that, the report card / full-year fee receipts) confirming that the child studied is sufficient. You need not prove the full ₹ 2,812.50 per month was spent.

Q. Can I claim CEA and Hostel Subsidy for the same child at the same time?

A. Yes. The two are payable **concurrently** for the same child, provided the conditions for each (study, and residence in a hostel ≥ 50 km away) are satisfied.

Q. My child failed and is repeating the class. Will CEA stop?

A. No. Reimbursement has **no nexus with performance** — a fail does not stop CEA. Only if a child re-takes a class **already passed** (in another school or mid-session) is CEA disallowed for that repeated class.

Q. Is Hostel Subsidy available only to transferable employees?

A. No. The grant is **not linked to transfer liability**. Any eligible employee may claim it if the child studies in a residential institution at least 50 km from the residence.

Q. Both my spouse and I are Government servants. Can we each claim for one child?

A. No. Where both spouses are Government servants, **only one** of them can avail CEA and Hostel Subsidy for the family's eligible children.

Q. Until what age can I claim for my child?

A. Up to **20 years** (or passing Class 12, whichever is earlier) for a normal child, and up to **22 years** for a Divyang child. If the age limit is reached mid-session, the benefit continues till the end of that session.

Q. Does nursery / LKG / UKG qualify after NEP-2020?

A. Yes. Post NEP-2020 (O.M. dated 14.03.2024), the benefit covers **three classes before Class 1** — Nursery, LKG, and UKG — from the academic year 2023-24, irrespective of class nomenclature.

23. Common Errors to Avoid

- **Stating Hostel Subsidy as ₹ 8,437.50 “per academic year.”** It is ₹ 8,437.50 per month — the annual ceiling is ₹ 1,01,250.
- **Assuming a Divyang child creates a third eligible slot.** The two-child limit applies regardless of disability.
- **Treating the income-tax exemption (₹ 100 / ₹ 300) as the reimbursement amount.** They are unrelated figures.
- **Claiming Hostel Subsidy on a day-boarding or transport receipt.** Only genuine boarding/lodging with residence qualifies.
- **Believing the rates rise the moment DA “reaches” a slab.** The trigger is **each 50% step**; the next rise is at DA 100%.

24. Key Sources & Instruments

This booklet is drawn from the following primary instruments. Aspirants should consult the original texts for authoritative wording:

- **DoP&T O.M. No. A-27012/02/2017-Estt.(AL) dated 16/17.07.2018** — Consolidated instructions on CEA and Hostel Subsidy (7th CPC); clauses (a)–(t). Effective 01.07.2017.
- **DoP&T O.M. No. A-27012/02/2017-Estt.(AL) dated 16.08.2017** — Original 7th CPC implementation (base rates ₹ 2,250 / ₹ 6,750).

- **DoP&T O.M. No. A-27012/01/2023-Pers.Policy(Allowance) dated 25.04.2024** — Revised rates (25% enhancement) w.e.f. 01.01.2024.
- **MoF, Dept. of Expenditure O.M. No. 1/1/2024-E-II(B) dated 12.03.2024** — DA enhanced to 50% w.e.f. 01.01.2024 (the triggering order).
- **DoP&T O.M. dated 14.03.2024** — Reimbursement of CEA / Hostel Subsidy in accordance with NEP-2020 (from academic year 2023-24); “two” → “three” classes before Class 1.
- **DoP&T O.M. No. A-27012/03/2017-Estt.(AL) dated 16.08.2017** — Special Allowance for Child Care to women with disabilities.
- **Section 10(14) read with Rule 2BB, Income-tax Rules, 1962** — income-tax exemption limits.

CURRENCY OF THIS BOOKLET

Content verified against the primary instruments listed above. As on the date of preparation, the rates revised w.e.f. **01.01.2024 remain in force**, and **no further 25% enhancement has been notified** (the next is due only when DA crosses 100%). Statutory positions can change; aspirants must **reconfirm the current position from official Government sources** before the examination.

